

Test Yourself
Macroeconomics
International Trade +
Protectionism

Section A

Duration of each question is **40 mins**

1. Explain the difference between an import tariff and an import quota **and** consider why a government would choose an import tariff rather than an import quota as a tool of protection in international trade. (8) **q5a/21/O/N/23**
2. Assess whether the theories of absolute and comparative advantage are substantially undermined by their various limitations. (12) **q5b/21/O/N/23**
3. Assess whether the arguments for protectionism in the context of international trade are always stronger than the arguments against. (12) **q5b/21/M/J/23**
4. Two countries each produce two products and wish to trade with each other. Explain the difference between the principles of absolute advantage and comparative advantage **and** consider whether the principle of comparative advantage is always the more important influence when each country is deciding whether to trade with each other. (8) **q4a/22/M/J/23**
5. Explain the potential advantages of free trade **and** consider whether such advantages are always greater than the potential disadvantages of free trade. (8) **q5a/21/O/N/24**
6. Explain two methods of protection in international trade **and** consider which of these is likely to have the bigger impact on employment and output in the economy which imposes them. (8) **q5a/23/O/N/24**
7. Explain what is meant by protectionism **and** consider the effectiveness of using tariffs as a method of protectionism. (8) **q5a/22/M/J/24**

8. Assess whether free trade is always better than a policy of protectionism for a developing economy that wishes to trade internationally. (12) **q5b/22/M/J/24**

9. Assess the extent to which the consequences of free trade are always positive for an economy. (12) **q4b/22/F/M/25**

Section B

Duration **1 hour**

1. What is **not** an example of protectionism?
 - A export subsidies
 - B import subsidies
 - C quotas
 - D tariffs

2. Which argument is an importer **most** likely to use to gain the support of consumers for free trade?
 - A More imports allow the government to raise revenue from tariffs.
 - B More imports improve the country's terms of trade.
 - C More imports increase competition in the domestic economy.
 - D More imports raise total employment in the domestic economy.

3. The statements that follow relate to possible gains from an increase in free trade.
Which gain is **least** certain to result in the short run?
 - A a reduction in costs of production
 - B a rise in the number of jobs
 - C a wider choice of goods available to consumers
 - D an increase in the level of competition

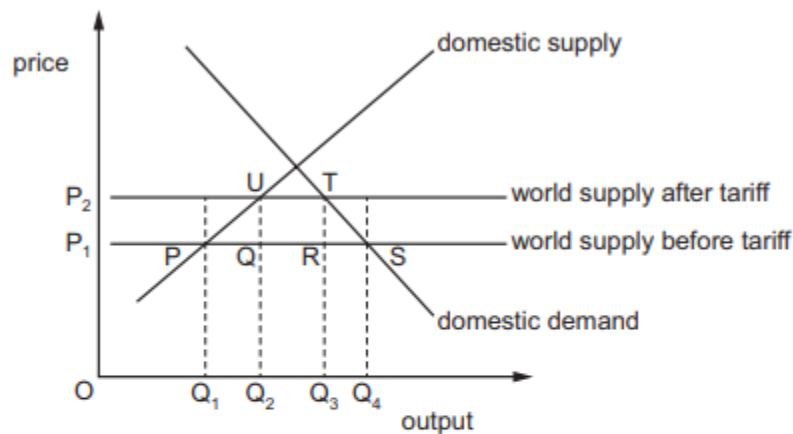
4. In 2018 the United States (US) government introduced tariffs on a wide range of imports from China.
Which type of policy was the US government adopting?
 - A expenditure-reducing
 - B expenditure-switching
 - C monetary
 - D supply-side

5. An economy with a long history of extensive barriers to trade decides to switch to totally free trade.

What is most likely to increase in the short term?

- A consumer surplus
- B government revenue
- C inflationary pressure
- D profits of all domestic companies

6. The diagram shows the imposition of a tariff on imports.



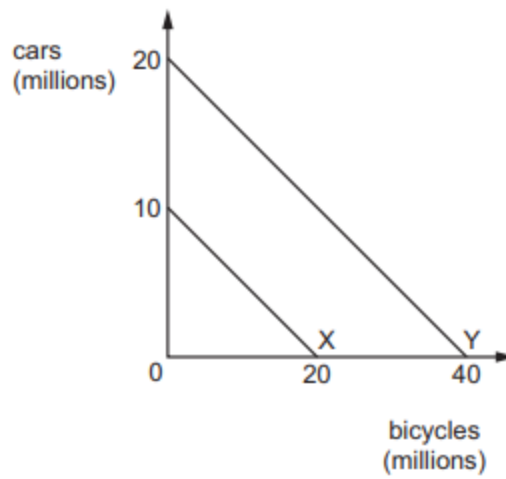
Which set of values is correct?

	imports before tariff	imports after tariff	tax revenue
A	OQ ₄	OQ ₃	PUTS
B	OQ ₄	OQ ₃	QUTR
C	Q ₁ Q ₄	Q ₂ Q ₃	PUTS
D	Q ₁ Q ₄	Q ₂ Q ₃	QUTR

7. In which economic context is the term 'protectionism' usually applied?

- A the protection of consumers against excessive prices
- B the protection of employees against exploitation by multinational companies
- C the protection of local producers against foreign competitors
- D the protection of the foreign exchange rate against currency speculators

8. The diagram shows the production possibility curves for two economies using all resources. Country X can produce 10 million cars or 20 million bicycles and country Y can produce 20 million cars or 40 million bicycles.



Which statement is correct about country X and country Y according to the theory of comparative advantage?

- A Country X and country Y would not gain from free trade.
 - B Country X has a lower opportunity cost ratio in producing cars and bicycles than country Y.
 - C Country X has an absolute advantage over country Y in the production of both goods.
 - D Country Y will have a faster rate of economic growth than country X.
9. In which circumstances will country X have a comparative advantage in the production of rice over country Y?
- A when X has lower opportunity costs in producing rice than Y
 - B when X is in a customs union and Y is outside that union
 - C when X uses dollars for trading and Y uses a different currency
 - D when X uses more units of labour than Y to produce rice

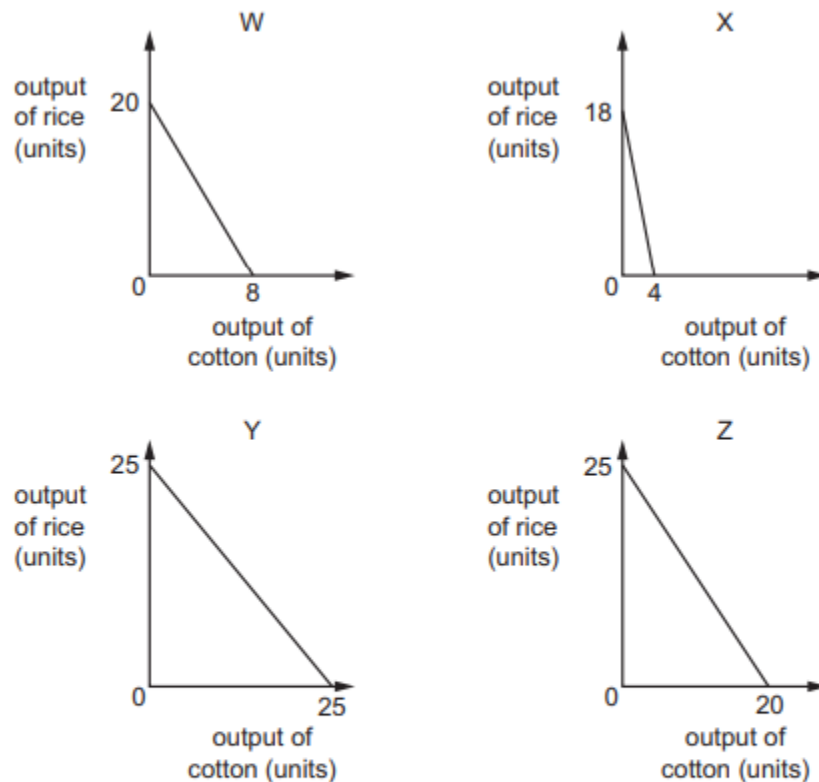
10. Two statements are shown.

- 1 A country can produce a good at a lower opportunity cost than another country.
- 2 A country can produce a greater quantity of a good for the same quantity of inputs than another country.

What do these two statements describe?

	1	2
A	absolute advantage	comparative advantage
B	absolute advantage	the terms of trade
C	comparative advantage	absolute advantage
D	the terms of trade	comparative advantage

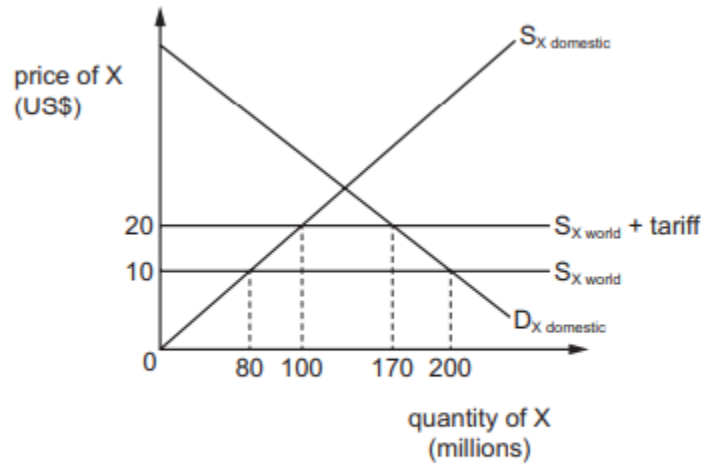
11. The diagrams show the production possibility curves of four countries W, X, Y and Z. They all produce rice and cotton using the same resources.



When comparing these four countries, what can be concluded from the diagrams?

- A** Country W has a comparative advantage in producing cotton.
- B** Country X has a comparative advantage in producing rice.
- C** Country Y has a comparative advantage in producing rice.
- D** Country Z has an absolute advantage in producing cotton.

12. The diagram shows the effect of the introduction of a tariff on good X by country Y.



What is the revenue, in US\$ million, received by producers of good X in country Y after the tariff is introduced?

- A** 400 **B** 800 **C** 1000 **D** 2000

13. What may increase the benefits a country gains from international trade?

- A** a reduction in transportation costs because of a fall in world oil prices
- B** domestic wage rates increase at a faster rate than output per worker
- C** the domestic labour force becomes more occupationally immobile
- D** trading partners increase tariffs on imported goods

14. Which statement about trade protection is correct?

- A** A tariff results in a greater decrease in demand for an import the lower is its price elasticity of demand.
- B** Embargoes are only an effective trade barrier when the demand for imports is price-elastic.
- C** Export subsidies to domestic firms will prevent the dumping of foreign products in the domestic market.
- D** Quotas are less effective than tariffs for raising government revenue.

15. Country X and country Y both produce rice and tables. Half of their resources are used to produce rice and the other half to produce tables. The resulting output of each product is given in the table shown.

country	rice	tables
X	150	100
Y	100	50

What can be concluded from the table?

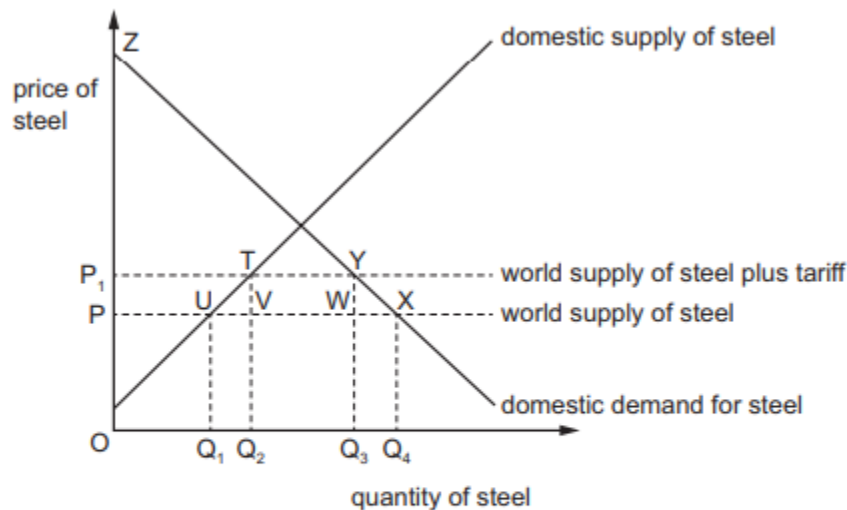
- A Country X has a comparative advantage in the production of both goods.
 - B Country X has a comparative advantage in the production of rice.
 - C Country Y has a comparative advantage in the production of both goods.
 - D Country Y has a comparative advantage in the production of rice.
16. Which argument for protection would be most relevant if the government of country X decided to exercise voluntary export restraint in its trade with country Y?
- A Voluntary export restraint would achieve an immediate correction for X's balance of trade deficit.
 - B Voluntary export restraint would cause the level of GDP to increase in country X.
 - C Voluntary export restraint would help to negotiate improved trading conditions between X and Y.
 - D Voluntary export restraint would help to reduce the level of unemployment in country X.
17. A government decides to increase a quota on an imported good.
- What is likely to happen?
- A The demand for the good will fall.
 - B The good will become more expensive.
 - C The government's revenue will decline.
 - D There will be more of the good imported.

18. Country X places a tariff of 20% on steel products imported from country Y. Country Y retaliates with a 20% tariff on computers imported from country X.

What is a certain economic consequence of these actions?

- A The balance of payments of country X and country Y will remain unchanged.
- B The exchange rate value on which trade between the two countries is based will be maintained.
- C The profits and employment of domestic firms in both countries will be preserved.
- D The volume of bilateral trade between country X and country Y will be reduced.

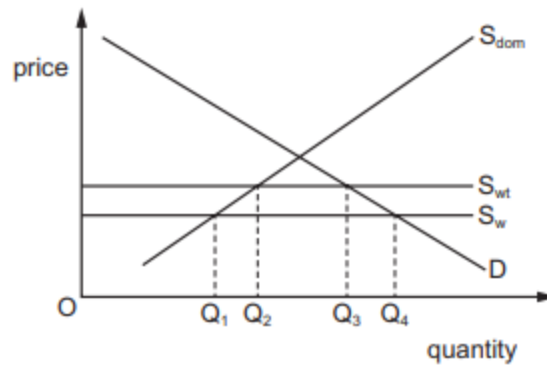
19. The diagram shows the effect of the United States (US) imposing a tariff on the import of steel in 2018.



Which statement about the impact of the tariff is correct?

- A Consumer surplus falls from P_1TO to PUO .
- B Domestic output increases from OQ_1 to OQ_3 .
- C Imports fall from Q_1Q_4 to Q_2Q_3 .
- D The tax revenue raised on imports is P_1YWP .

20. The diagram shows the effects of the imposition of a tariff on an internationally-traded good. S_{dom} is the supply and D the demand in country R. S_w is the world supply curve of the product and S_{wt} is the world supply curve after the imposition of a tariff by country R.



Which combination describes the effect on domestic supply of and demand for the good in country R after the imposition of the tariff?

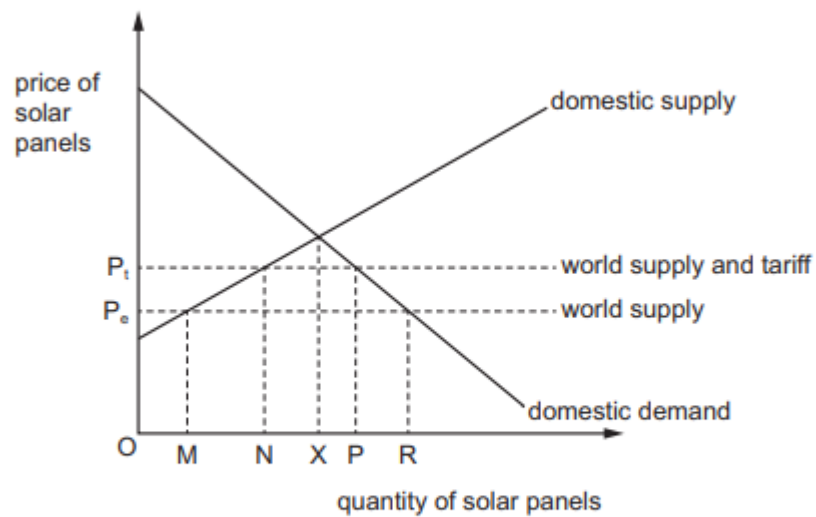
	demand	domestic supply
A	falls	falls
B	falls	rises
C	rises	falls
D	rises	rises

21. In a recent year, Japanese car manufacturers agreed to limit exports of cars to the USA.

Which form of protectionism is this?

- A** an embargo
- B** an export subsidy
- C** a quota
- D** voluntary export restraint

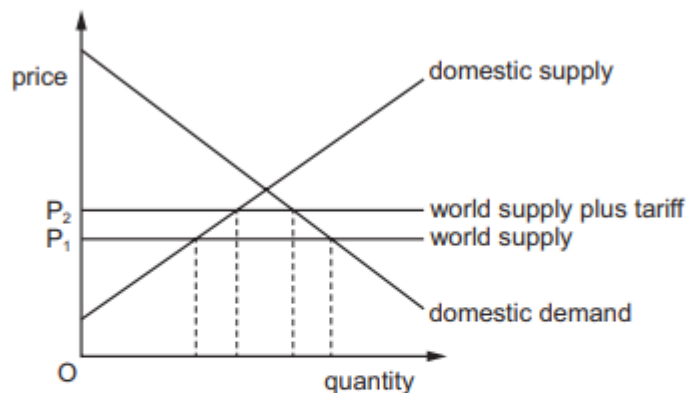
22. The diagram shows the demand and supply curves for solar panels in the US. In 2018, the US put a tariff on imported solar panels.



What is the quantity of imported solar panels after the imposition of the tariff?

- A** MN **B** MX **C** NP **D** XP

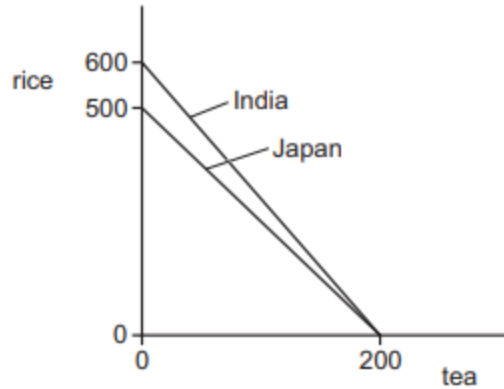
23. The diagram shows the effect of introducing a tariff on a product.



What determines the producer surplus that the tariff generates for domestic producers?

- A** the price elasticities of domestic supply and demand
B the tariff rate and the price elasticities of both domestic demand and supply
C the tariff rate and the price elasticity of domestic demand
D the tariff rate and the price elasticity of domestic supply

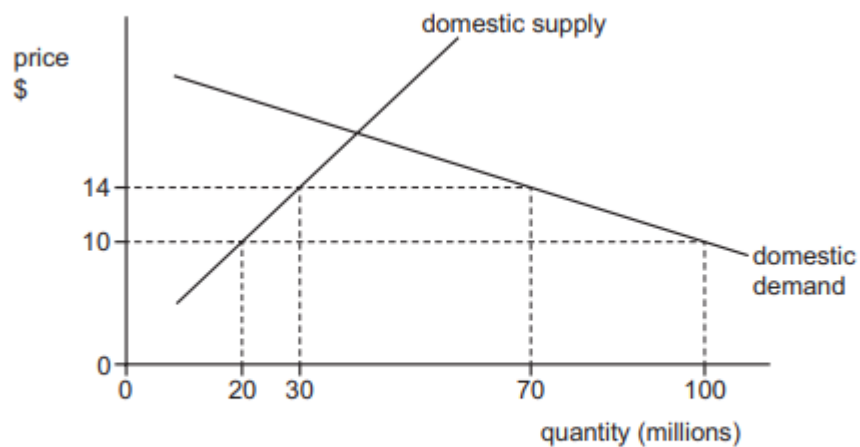
24. The diagram shows production possibility curves for two countries, India and Japan.



Which combination of outputs would be achieved if each country specialised in the product in which it has a comparative advantage?

	rice	tea
A	600	200
B	600	500
C	1200	200
D	1200	1000

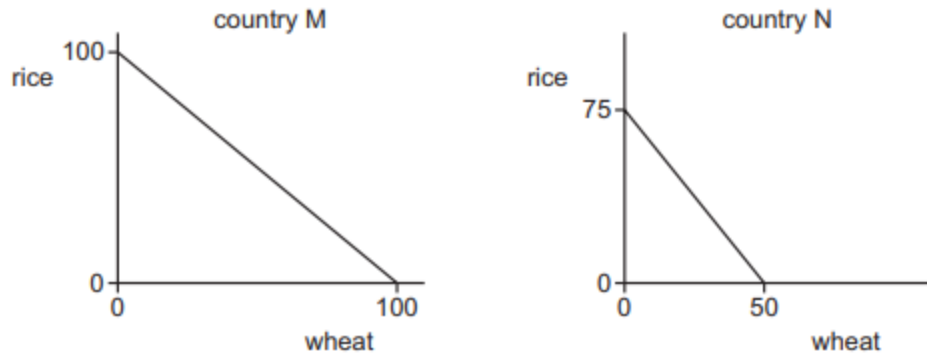
25. The diagram shows that the imposition of a tariff raises a product's world price from \$10 to \$14.



By how much did domestic producers' income increase as a result of the tariff?

- A** \$120 million **B** \$160 million **C** \$220 million **D** \$280 million

26. The world consists of two countries, M and N. The graphs show their production possibilities for wheat and rice.



Countries M and N operate on their production possibility curves and, before specialisation, country M produces 60 units of wheat and country N produces 30 units of wheat.

What will be the change in the world output of **rice** if both countries decide to specialise according to comparative advantage?

- A** It will fall by 5 units.
 - B** It will fall by 30 units.
 - C** It will rise by 5 units.
 - D** It will rise by 30 units.
27. Countries X and Y both produce goods M and N. They decide to specialise and trade freely in the goods.

Under which conditions are the gains from specialisation and free trade likely to be **smallest**?

	mobility of factors of production between goods M and N	mobility of factors of production between countries X and Y
A	high	high
B	high	low
C	low	high
D	low	low

28. What is an unintended consequence of the US government restricting imports of cheap Chinese steel?
- A US importers of steel pay lower prices for steel.
 - B US manufacturers become less competitive.
 - C US steel makers increase steel production.
 - D US steel workers receive higher incomes.

29. The table shows the output of goods X and Y in China and the United States (US) before specialisation.

	good X	good Y
China	20 000	70 000
US	20 000	50 000
total	40 000	120 000

Assuming both China and the US use 50% of their resources to produce each product, what will the combined total output be after specialisation has occurred?

- A 120 000 B 140 000 C 160 000 D 180 000
30. Economists suggest that multilateral trade between many countries is preferable to bilateral trade between two countries.
- Why is this?
- A Bilateral trade means that trade diversion is always greater than trade creation.
 - B Bilateral trade misses the benefit of trade with third countries.
 - C Gains from bilateral trade are less than the harm done to third countries.
 - D Gains from comparative advantage cannot apply in the case of bilateral trade.

Question	Answer	Marks
1	Explain the difference between an import tariff and an import quota <u>and</u> consider why a government would choose an import tariff rather than an import quota as a tool of protection in international trade. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) The meaning of an import tariff as a tool of protection. (Up to 2 marks) The meaning of an import quota as a tool of protection. (Up to 2 marks) (Max 3 marks) AO2 Analysis (max 3 marks) An explanation of the various advantages and disadvantages of an import tariff as a tool of protection in international trade. (Up to 2 marks) An explanation of the various advantages and disadvantages of an import quota as a tool of protection in international trade. (Up to 2 marks) Max 3 marks AO3 Evaluation (max 2 marks) Offers a valid judgement on why a government would choose an import tariff rather than an import quota as a tool of protection in international trade (1) to reach a conclusion. (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
2	Assess whether the theories of absolute and comparative advantage are substantially undermined by their various limitations. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • The theory of absolute advantage. • The theory of comparative advantage. • How these theories could be used in the real world. • The assumptions underlying these theories, such as in relation to only two products being traded, the existence of perfect competition in both product and factor markets, no transport costs, production subject to constant returns to scale and no restrictions on trade. • The limitations of these theories, such as in relation to the fact that trade will involve more than two products, perfect competition will not apply to all markets, there will costs of transport, producers may experience economies of scale, reducing the costs of production, and there may well be trade restrictions in different parts of the world in the form of different methods of trade protection. (Up to 8 marks) AO3 Evaluation • Considers the various assumptions of the theories • In conclusion, are the theories substantially undermined by their various limitations? Accept all valid responses. (Up to 4 marks)	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
3	Assess whether the arguments for protectionism in the context of international trade are always stronger than the arguments against. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis The arguments for protectionism/against free trade. These might include: • Infant/sunrise industry argument • Declining/sunset industry argument • Strategic industry argument • To prevent dumping • To reduce a current account deficit • To raise revenue for a government. The arguments against protectionism/for free trade. These might include: • Free trade can lead to greater specialisation and, as a consequence, greater output • Resources are allocated more efficiently • Consumers have a wider range of products to choose from • This can lead to improved standards of living. AO3 Evaluation • Considers the possible issues of protectionism and the relative strength of the different arguments. • In conclusion, which approach will be better for particular economic situations. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
4	Two countries each produce two products and wish to trade with each other. Explain the difference between the principles of absolute advantage and comparative advantage and consider whether the principle of comparative advantage is always the more important influence when each country is deciding whether to trade with each other. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) Absolute advantage is a situation where, for a given set of resources, one country can produce more of a certain product than another country (1) comparative advantage exists where one country can produce a certain product at a lower opportunity cost than another country (1) plus a simple explanation that one country may have an absolute advantage in both products but the other country may have a lower opportunity cost in producing one of the products (1) AO2 Analysis (max 3 marks) The analysis should consider the advantages and disadvantages of using the principle of comparative advantage in deciding whether to trade or not. Maximum of 2 marks for an analysis that only considers the advantages and a maximum of 2 marks for an analysis that only considers the disadvantages. Points to consider include (N.B. this list is not exhaustive so allow any reasoned points): • The benefits of specialisation leading to a more efficient allocation of resources • An increase in world output • An increase in employment and living standards BUT • May exhaust finite natural resources due to over specialisation. • Strategic industry argument • Exchange rate may not lie between the opportunity cost ratios. Guidance: For AO1 and AO2, it is not expected that tables / numeric examples are used. However, they are acceptable provided they are appropriately explained.	8

Question	Answer	Marks
4	AO3 Evaluation (max 2 marks) For an answer that clearly compares the advantages and disadvantages of the principle of comparative advantage (1) and uses the analysis to reach a reasoned conclusion as to whether it is always the most important factor to consider (1)	
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
5	Explain the potential advantages of free trade <u>and</u> consider whether such advantages are always greater than the potential disadvantages of free trade. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding, up to 3 marks for AO2 Analysis, and up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) A knowledge and understanding of at least two potential advantages of free trade, such as: • an increase in world output • a wider range of products for consumers to choose from • an improved standard of living. AO2 Analysis (max 3 marks) An explanation of at least two potential disadvantages of free trade and how these contrast with the potential advantages of free trade, such as: • free trade involves specialisation which could mean that some economic sectors are allowed to run down, leading to higher unemployment • overreliance on some commodities could be risky • potential security risk if vital resources are imported. AO3 Evaluation (max 2 marks) Offers a valid judgement on whether the potential advantages of free trade are always greater than the potential disadvantages of free trade (1) to reach a conclusion. (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
6	Explain two methods of protection in international trade and consider which of these is likely to have the bigger impact on employment and output in the economy which imposes them. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding, up to 3 marks for AO2 Analysis, and up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) - Protectionism is when governments attempt to protect domestic businesses against foreign competition (1). - Explanation of two methods of protection – e.g., tariffs, import quotas, export subsidies, embargoes, excessive administrative burdens ('red tape') and how each method distorts the free market/supports domestic production (1+1). AO2 Analysis (max 3 marks overall) Points to consider: - An explanation of how each method affects domestic employment (1+1). For example, tariffs increase import prices and encourage expenditure switching to domestic production. This increases the level of employment as more workers are recruited to meet the additional output. - However, if the demand for imports is price inelastic in demand, then the reduction in imports may be less (1), therefore domestic output (and employment) may not rise as much as when compared to import quotas (1). AO3 Evaluation (max 2 marks) - Evaluation should consider which method is likely to have the biggest impact on employment (1), leading to a justified conclusion (1).	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
7	Explain what is meant by the term protectionism <u>and</u> consider the effectiveness of using tariffs as a method of protectionism. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) Protectionism is when governments attempt to protect domestic businesses against foreign competition (1). It seeks to reduce the impact of the free market/ restrict free trade (1) by increasing the price competitiveness of domestic businesses against foreign competitors (1). AO2 Analysis (max 3 marks) - An explanation of how tariffs work (diagram will help although this is not essential) as a method of protectionism i.e., increasing prices of imports and increasing the price competitiveness of domestic businesses. NB: no marks for a diagram unless it is used to explain the impact on the price of imports and how it protects domestic businesses. Up to 2 marks e.g., for an explanation of how tariffs increase the price of imports (1) and how this protects domestic businesses as it increases their price competitiveness (1) - Problems may include possible retaliation, inelastic PED for imports, possible cost push inflationary pressure. Up to 2 marks e.g., retaliation by other countries may offset the impact, if the demand for imports is price inelastic then imports may not fall and domestic businesses will not benefit, if the impact is on imported raw materials, this will lead to cost push inflation and domestic businesses who rely on such imports will not benefit. If only uses or problems of tariffs are discussed, maximum mark of 2. AO3 Evaluation (max 2 marks) - Evaluation should consider how effective tariffs may be considering both how they can protect domestic businesses and the associated problems with 1 mark reserved for a justified conclusion. Please use a text box to show the mark split e.g., 2,2,1	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
8	Assess whether free trade is always better than a policy of protectionism for a developing economy that wishes to trade internationally Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • Analysis of the advantages and disadvantages of free trade and • Analysis of the advantages and disadvantages of protectionism • Both in the context of a developing economy. Guidance: The advantages of free trade may include: • Efficient allocation of resources due to specialisation and comparative advantage. • An opportunity to take advantage of different factor endowments. • Competitive pressure to keep costs down / increase efficiency / lower prices for consumers. • Higher output / economies of scale and increased choice and availability for consumers. • Disadvantages may include: • Over exploitation of scarce resources. • Closure of domestic industries and /or problems for developing industries leading to unemployment particularly in a developing economy. • Dumping / unfair competition. • It is likely that the advantages of protectionism will result from the disadvantages of free trade and the disadvantages of protectionism will result from the advantages of free trade. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. NOTE: if the analysis is not in the context of a developing economy, then L2 maximum.	12

Question	Answer	Marks
8	AO3 Evaluation - Requires an assessment of the advantages and disadvantages of both free trade and protectionism in the context of a developing economy and a comparison of both policies which leads to - A justified conclusion as to which policy may be best for a developing economy that wishes to trade internationally. Note: if the evaluation is not in the context of a developing economy, then no evaluation marks can be awarded. A one-sided response cannot gain any marks for evaluation. Please use a text box to show the mark split e.g., L2 5 L1 2	
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
9	Assess whether the consequences of free trade are always positive for an economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis Understanding of the terms free trade How free trade may benefit an economy – this may include – increased economic growth, reduction in unemployment, improved public finances, improved balance of payments. An explanation of the drawbacks of free trade – reduced domestic growth, increases in structural unemployment, over reliance on other countries for goods not produced domestically. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider both the potential positives and negatives and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation Consideration that fully assesses the consequences of free trade and arrives at a reasoned conclusion concerning whether it is always positive – this may include reference to availability of factor endowments, how ‘open’ an economy is, stage of development etc. A one-sided response cannot gain any marks for evaluation. Please use a text box to show the levels applied and mark split e.g., L3 6 L1 2 Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

SECTION B

1.	B	11.	B	21.	D
2.	C	12.	D	22.	C
3.	B	13.	A	23.	D
4.	B	14.	D	24.	A
5.	A	15.	D	25.	C
6.	D	16.	C	26.	C
7.	C	17.	D	27.	C
8.	A	18.	D	28.	B
9.	A	19.	C	29.	D
10.	C	20.	B	30.	B